

INNOVIVA

NasdaqGS: INVA



By: Khanh Pham

COMPANY OVERVIEW

Innoviva is a biopharmaceutical company with a mission to address unmet medical needs through respiratory drug royalties, commercial critical care and infectious disease therapies, and strategic investments in anti-infective innovation

Key Value Drivers

Three-source Business Model

Compared with pure royalty peers and product-focused biotech peers, Innoviva has a diversified platform that earns from royalties, specialty therapeutics sales, and healthcare investments, giving it steadier cash flow and broader growth upside.

High Scalability

Innoviva’s existing critical care and infectious disease platform allows it to add synergistic products with lower incremental costs. New Technology Add-on Payment (NTAP) reimbursement for ZEVTERA enhance hospital adoption and future growth.

High Gross Margin (>75%)

Innoviva’s commercial-ready specialty therapeutics portfolio helps keep COGS low. Products are approved and marketable. Therefore Innoviva can generate sales without heavy pre-commercialization or early-stage development costs.

Income Sources

Royalty Assets



Innoviva Specialty Theurapeutics



Healthcare Assets



LTM Financials (March 31, 2026)

Revenue: \$420.7M

Gross profit: \$311.7M

Net Income: \$504.3M

EBITDA: \$192.7M

INDUSTRY OVERVIEW

Porter's Five Forces

Threat of New Entrants **LOW**

Needs years of testing, regulatory approval, large upfront investment, and strict storage standards before generating revenue, making failure costly and entry difficult. Patents also make it harder to enter the market.

Threat of Substitutes **MODERATE**

Patents protect approved therapies for a limited time, but generics or biosimilars can enter after exclusivity expires. However, some specialized diseases still have few effective treatment options.

Buyers' Bargaining Power **MODERATE**

Individual patients have limited bargaining power due to medical need and fewer substitutes. However, large buyers (insurers, PBMs, and hospital networks) can negotiate prices.

Suppliers' Bargaining Power **MODERATE**

Switching suppliers is costly when products must meet strict quality, safety, and regulatory standards. Firms are more dependent on approved and reliable suppliers, even though production inputs are easily obtainable

Competitive Rivalry **HIGH**

After patent protection ends, generic or biosimilar firms can enter with similar therapies at lower prices. Low product differentiation forces companies to compete on price, access, and continuous innovation.

Recent Trends

Patents Cliff

Branded drugs with over \$300B in cumulative revenue are facing patent expiry between 2025 & 2030. Companies are pursuing mergers and acquisitions to reduce risk of patent expiration.

AI-Driven R&D Efficiency

AI is becoming a major driver by reducing drug discovery timelines and pre-clinical costs by an estimated 25% to 50 (World Economic Forum).

Growing Infectious Disease Market

Infectious disease is projected to be in top 20 global therapy area, with spending expected to reach about \$80B by 2029, driven by antimicrobial resistance and continued demand for effective hospital-treated infection therapies.

Competitive Landscape

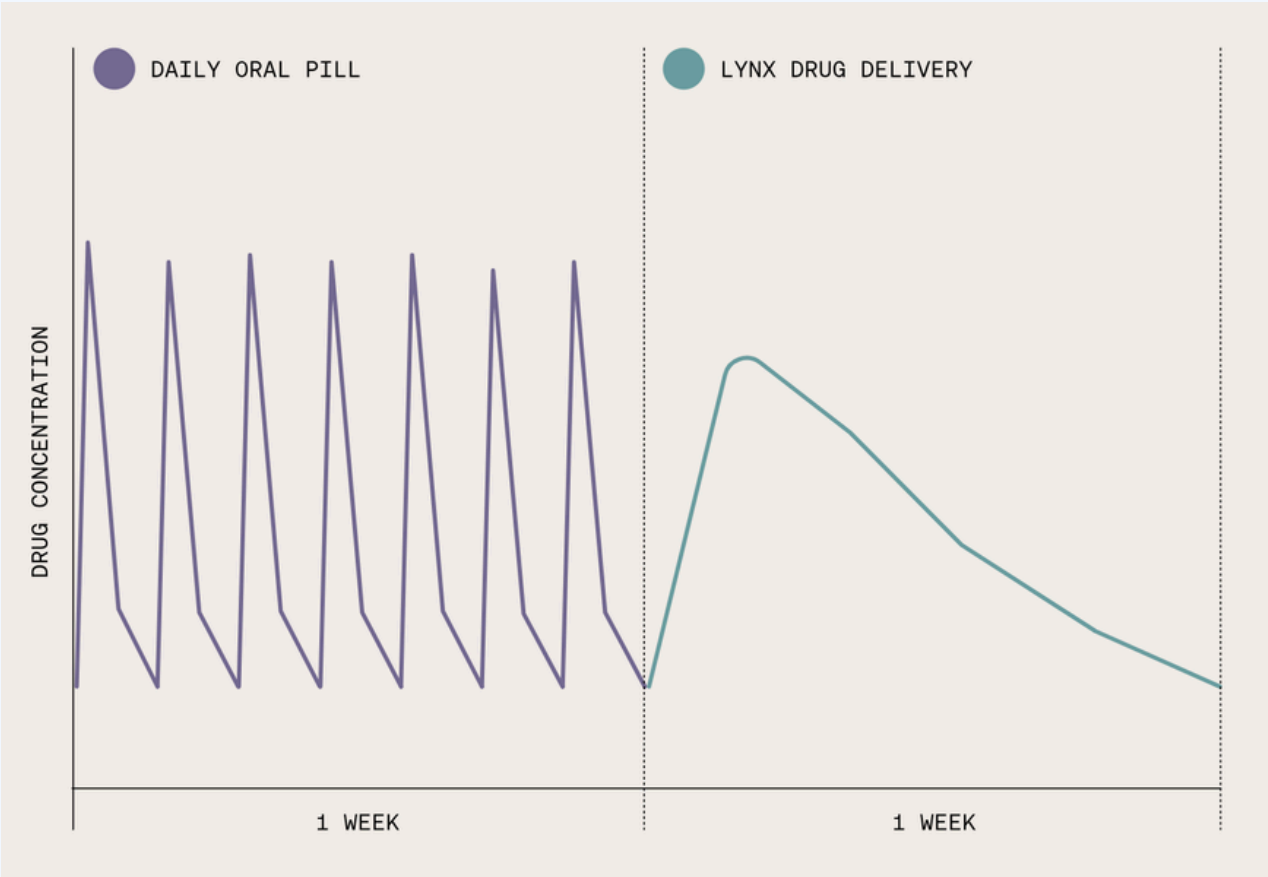


THESIS 1: LAUNCH OF NORTIVA BIO & LYNX PLATFORM

In June 2026, Innoviva launched Nortiva Bio to develop long-acting oral therapies through LYNX drug delivery platform.

LYNX drug delivery platform

Oral drug delivery platform, transforming daily pills into once-weekly or monthly oral therapies



270+

individuals dosed across multiple therapeutic areas and drug classes

~600

total administrations in humans

1300+

total administrations in animal trials

Clinical proof of concept in multiple therapeutic areas & a successful Phase 3 study

Large unmet need

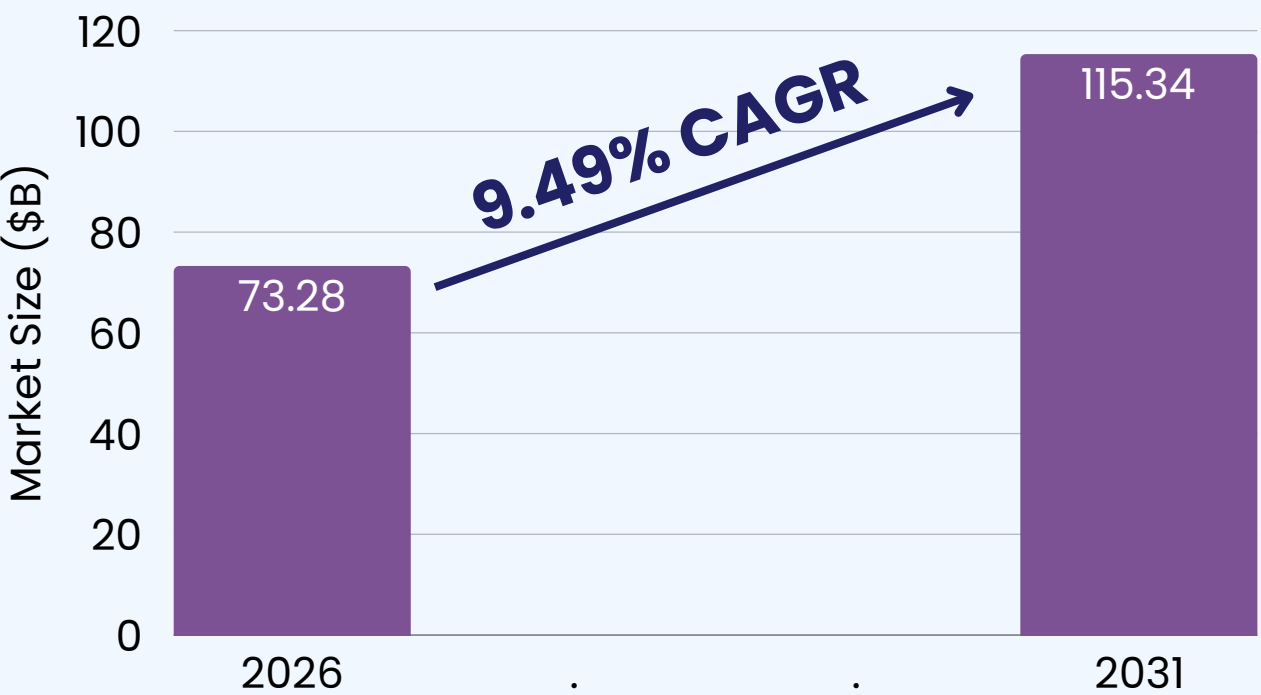
125,000

deaths in the U.S annually due to failure to adhere to medication regimens

\$290 BILLION

annual cost of medication non-adherence in the U.S

Long-acting pills can reduce non-adherence rate by reducing the frequency of taking medicines



The graph shows forecasted growth of controlled release drug delivery market by 2031. This market size is projected to reach \$115.34B in 2031.

High growth potential

- **Partnership Opportunities:** LYNX attracts other pharmaceutical company to partner with Innoviva to develop their long-acting oral versions of approved therapies, as LYNX has been proven to be effective in multiple therapeutic areas.
- **Multiple Revenue Streams:** Upfront licensing fees, milestone payments, and co-development funding from these partner companies will be another source of revenue. This makes Innoviva more sustainable & well-positioned in the upcoming wave of patents loss that may affect its earnings from current marketed drugs.

THESIS 2: GLOBAL EXPANSION

XACDURO enters international markets



First and only FDA-approved antibiotic for adult with HABP/VABP caused by susceptible isolates of *Acinetobacter baumannii-calcoaceticus* complex (*Acinetobacter*)

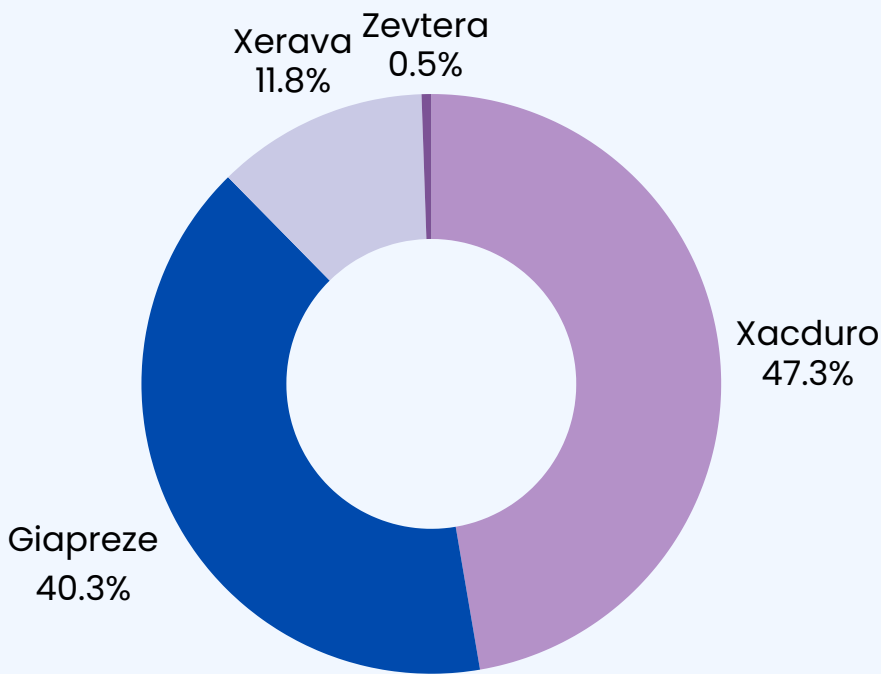
Innoviva’s distribution and licensing agreement with Dr. Reddy’s for XACDURO® in international markets

This agreement expands Innoviva’s reach to markets with high prevalence of CRAB (a type of *Acinetobacter*)

South & Central America	The Caribbean
Russia	CIS countries

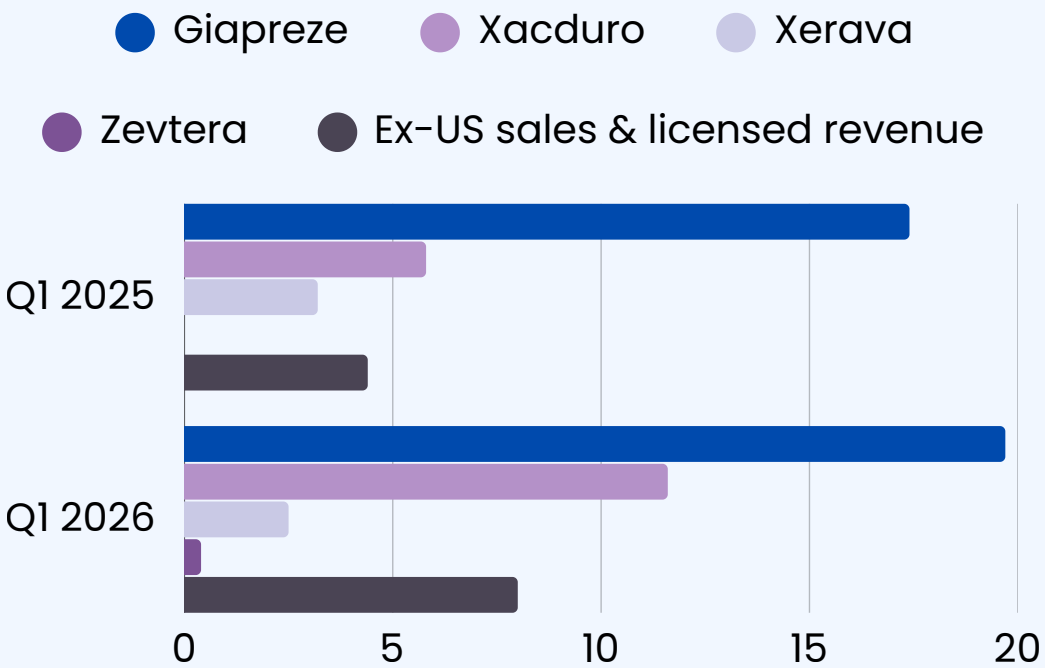
- Low-cost expansion: Dr. Reddy’s handles development, regulatory and commercialization activities.
- Promising growth rate in ex-US sales: XACDURO outstands current alternative (colistin), with lower mortality rate
- Large unmet need: CRAB is categorized as as a “Priority 1: Critical” pathogen by the WHO and causes over 50000 deaths each year. With CRAB resistance rate over 70%, these targeted regions are potential markets for XACDURO.

Distribution of sales revenue & growth rate



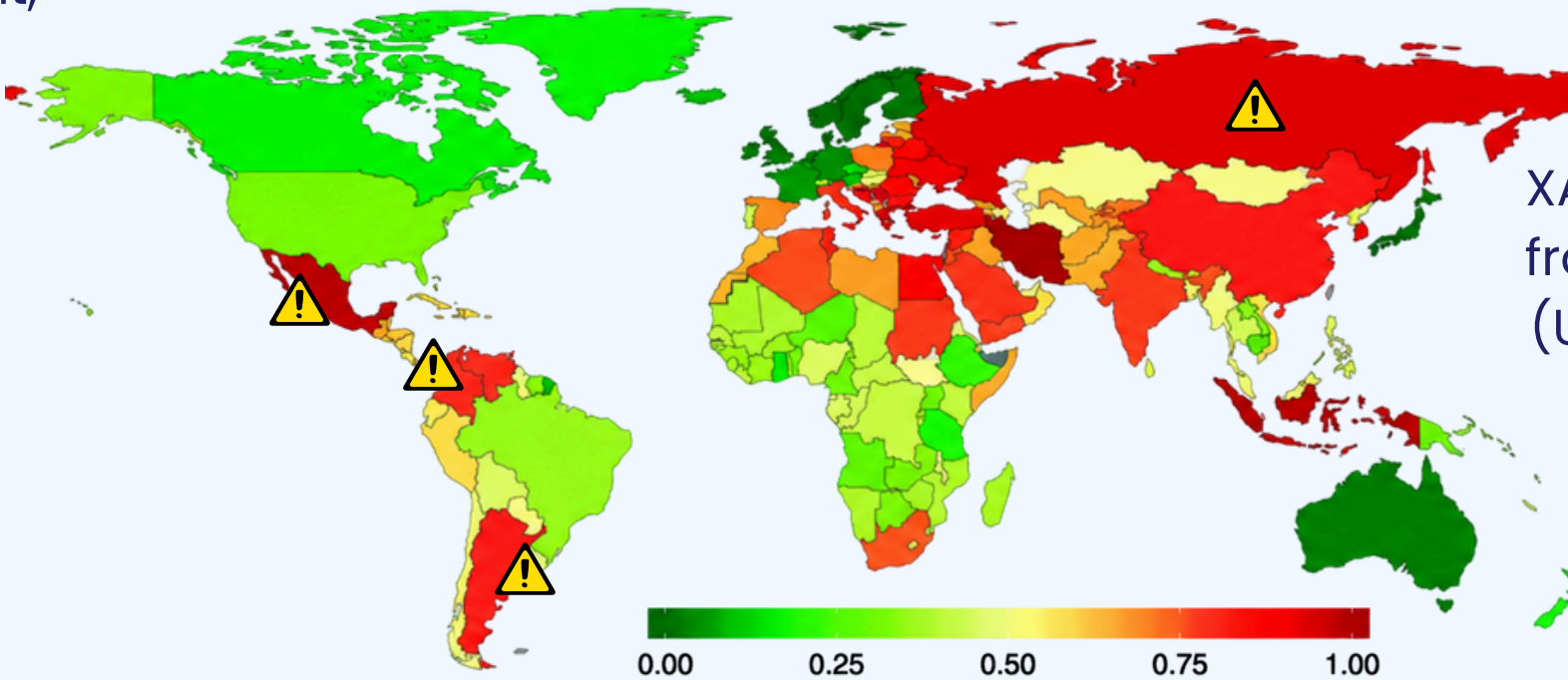
LTM net sales & license revenue

- XACDURO accounts for nearly 50% of net sales and license revenue. Ex-US sales & licensed & XACDURO revenue has the fastest growth, 82% and 99% respectively.
- XACDURO’s market expansion will be a revenue booster, continuing to drive growth in Ex-US sales with even faster speed than current.



LTM net product sales

CRAB Prevalence map



XACDURO’s market expands from low-prevalence region (U.S) to highest-prevalence regions

THESIS 3: DIVERSIFIED HEALTHCARE ASSETS PORTFOLIO

Current assets portfolio

Innoviva’s diversified healthcare portfolio gives the company exposure to multiple areas (antibiotic resistance, neurodiagnostics, immunotherapy, synapse-targeted CNS therapy).

ARMATA PHARMACEUTICALS

- Focuses on the development of targeted bacteriophage therapeutics for antibiotic-resistant infections
- Product: AP-SA02 (for Staphylococcus aureus bacteremia) & AP-PA03 (for Pseudomonas aeruginosa)

BEACON BIOSIGNALS

- Uses AI-driven electroencephalogram (EEG) data to help diagnose and study neurological and psychiatric conditions
- Product: FDA-cleared EEG headband and clinical-trial support tools

IMAGINAB

- Develops radiopharmaceutical imaging tech, assisting in visualizing immune activity
- Product: ImmunoPET Imaging (Uses in vivo CD8 T-cell imaging to visualize treatment effects)

SYNDEIO

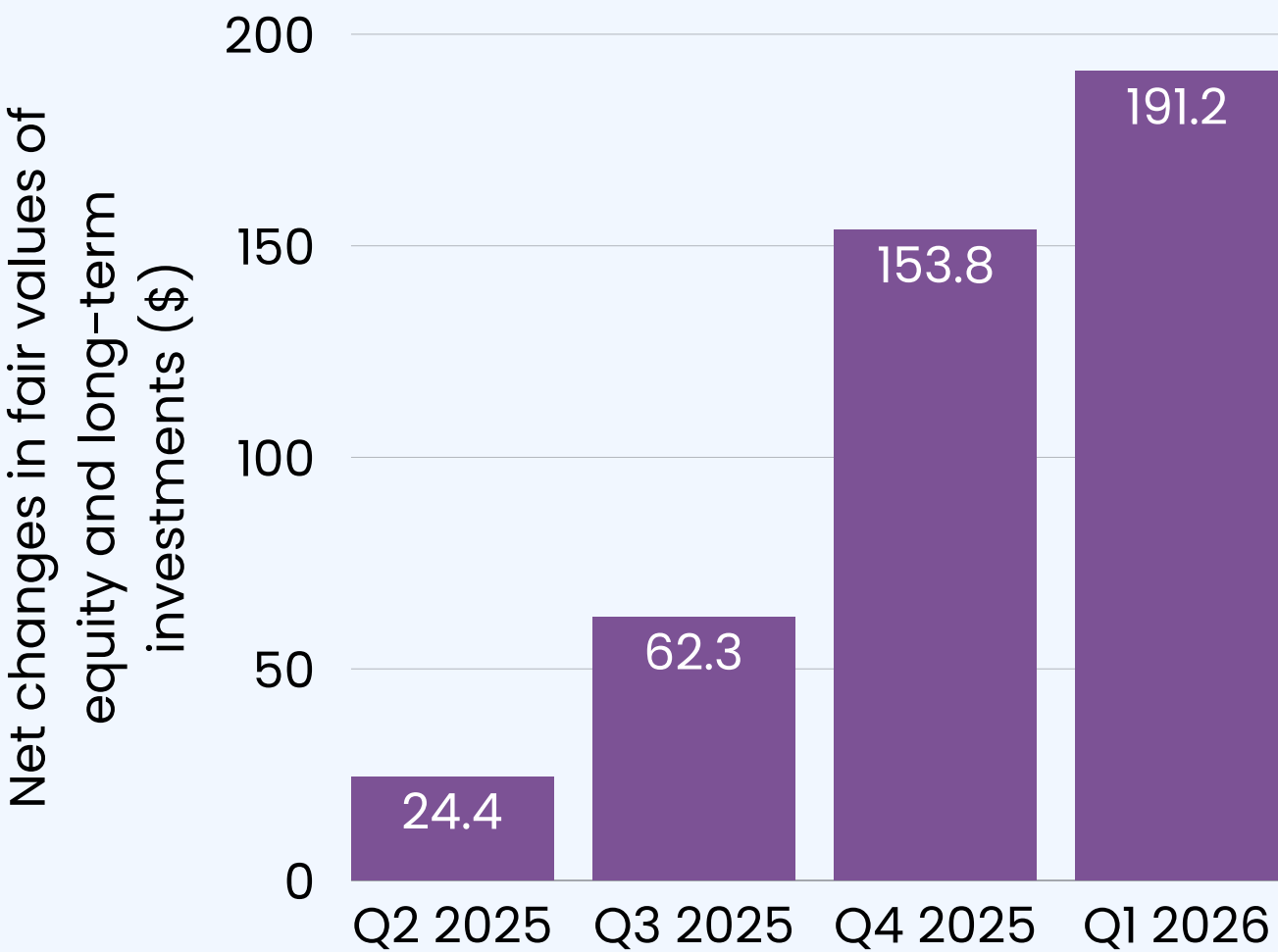
- Develops synapse-targeted neuroscience therapies, improving communication between neurons and treat CNS disorders (depression, Alzheimer’s disease, schizophrenia, and cognitive disorders).

Benefits

- **Revenue protection:** These assets are growing in value. They generate an additional revenue stream beside selling pharmaceutical products, reducing Innoviva susceptibility in the upcoming threat of patents loss
- **Reducing reliance on single asset:** By investing in different sectors within healthcare, Innoviva can avoid binary risk.

Growing assets value

LTM net changes in fair values of equity & investment



Over LTM, fair values of Innoviva’s equity & long-term investment has increased by 684%. By March 31/2026, Innoviva’s current equity & long-term investment is valued \$773M.

